

PM Planning with Adam (6/2/2025)

News for Today

- S&P Global Manufacturing PMI (May) Forecast (52.3) Previous (50.2) (9:45AM)
 - ISM Manufacturing PMI (May) Forecast (49.3) Previous (48.7) (10:00AM)
 - ISM Manufacturing Prices (May) Forecast (70.2) Previous (69.8) (10:00AM)
 - Fed Chair Powell Speaks (1:00PM)
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Futures Drop as U.S.-China Tensions Flare Again

- Dow Futures: -220 pts / -0.3%
 - S&P 500 Futures: -35 pts / -0.6%
 - Nasdaq 100 Futures: -145 pts / -0.7%
 - ➡ Markets pull back after a strong May rally (S&P +6%, Nasdaq +9%, Dow +4%)
 - ➡ Fresh trade war concerns hit sentiment
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China Fires Back at Trump's Tariff Threats

- China's commerce ministry: Trump's Geneva violation accusations "groundless"
 - Beijing vows "forceful measures" to defend its interests
 - U.S. says talks have stalled, 90-day tariff pause in jeopardy
 - Trump: Steel tariffs to double to 50% on June 4
 - Commerce Sec. Lutnick: Tariffs "here to stay", legal fight ongoing
 - ➡ Appeals court reinstated tariffs, but Supreme Court showdown likely
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 Today's Key Catalysts

- PMI data: From both S&P and ISM
 - Fed Chair Powell: Speaks in D.C. — market listening for policy clues
 - May NFP Preview (Friday): Est. +130K jobs (vs. +177K April)
 - Fed's Waller: Backs "good news" rate cuts if inflation progress holds despite tariffs
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 Sector Movers: Chipmakers Fall, Metals Surge Semis Hit by New China Rules

- Reports: U.S. to expand sanctions to include subsidiaries of blacklisted firms
- Targets workaround tactics used by Chinese tech giants
- Losers:
 - Nvidia (\$NVDA)
 - Marvell (\$MRVL)
 - TSMC (\$TSM)

 Tariff Tailwind for Metal Stocks

- Trump's steel move lifts U.S. producers
 - Winners:
 - Cleveland-Cliffs (\$CLF)
 - Nucor (\$NUE)
 - Steel Dynamics (\$STLD)
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 Outlook

- Renewed geopolitical headwinds could pressure stocks this week
 - Eyes on Powell, jobs data, and China response
 - Markets still pricing in rate cuts later this year as Fed sees tariff-driven inflation as temporary
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 Morgan Stanley Doubles Down on Nvidia: "Unique Opportunity" Amid Sector Doubts

- Rating:  *Overweight (Reiterated)*
- Top Pick: Nvidia (\$NVDA) remains the firm's #1 choice in semiconductors
-  *"The largest market cap chipmaker is making a strong case that business will accelerate—even while consensus expects a slowdown."*

 Key Takeaways:

- Q1 strength across the board:
 - *Gross margins beat*
 - *Ex-China revenue strong*
 - *Networking rebounding*
 - *Supply chain ramping*
- Inventory issue? Not for long:
 - Rack bottlenecks = temporary
 - *Expect "tight supply" of Bianca AI cards once cleared*
- China guidance limited: Due to geopolitical sensitivities, not demand weakness

 Analyst View:

"We're materially undershipping demand" – Suggests upside in coming quarters

 Adam's Watchlist

- \$QQQ: Pre Market BSL. Looking to go long off the 517.23's KL for a push up into the 519.48's KL and potentially the 522's KL. If we break below ill be looking to go short off the 513's KL for a push down to the 510.78's KL and potentially the 507.75's KL.
 - \$CLF: Looking to go long off the 7.90's KL for a push up into the 9.19's KL.
 - \$STLD: Looking to go long off the 137.31's KL for a push up into the 144.92's KL.
 - \$NUE: Looking to go long off the 121.83's KL for a push up into the 127.48's KL.
 - \$RCL: Looking to go long off the 258.72's KL for a push up into the 265.17's KL.
 - \$APPL: Looking to go long off the 200.69's KL for a push up into the 202.69's KL and potentially the 206.61's KL.
 - \$DASH: Looking to go long off the 209.68's KL for a push up into the 215's KL.
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COMMUNITY WATCHLIST

- \$APH: Looking to go long off the 90's KL for a push up into the 95's KL.
 - \$PONY: Looking to go long off the 21.48's KL for a push up into the 23.80's KL.
 - \$APLD: Looking to go long off the 8's KL for a push up into the 10's KL.
 - \$L: Looking to go long off the 89.31's KL for a push up into the 90's KL and potentially the 92.40's KL.
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